

Calderwood Partners LLC

www.calderwoodpartners.com

March 12, 2019

Barbara Ward

Director of Operations

Garza, Leblanc and Porter

Re: Advising you on the strategy for your portfolio of businesses

Dear Ms. Ward:

This letter confirms that we will advise you on the strategy for the group's portfolio of businesses, and it sets down the terms of that work: what we will do, who will do it, what it costs, and what each of us takes on. I have written it plainly and kept it short where the subject allowed. You and I have talked this through more than once, so nothing in it should surprise you. If any term here differs from what we agreed, telephone me before you sign and we will correct it.

The Question We Are Answering

You run several operating businesses under one roof, built up over the years, and you want a clear answer to a question that is easy to state and hard to settle: which of them deserve more capital and management attention, which should hold their present course, which need work, and whether any no longer belong in the group. Our engagement builds toward that answer and a practical order for acting on it, and it proceeds along four lines.

- A common read of each business on its own terms: what it earns, the capital it ties up, how fast it is growing, and how those figures compare from one unit to the next on a single definition.
- The market each business competes in and its standing within that market, so that a unit's prospects are judged against its own industry rather than against the other members of your group.
- A benchmark of each business against comparable companies outside the group, drawn from public reference points, so that a judgment of strong or weak carries an outside measure and not only an internal one.
- A portfolio view that places every business on one map of attractiveness and competitive position, and from it a recommendation on where to invest, where to hold, where to intervene, and what a sensible sequence of moves would be.

Let me also mark what this work is not, so that nothing you expect is left unspoken. We do not value your businesses for sale, and we are not your investment bank; if a divestiture follows from the analysis, we set

out the case for it and leave the transaction to advisors you engage for that purpose. We do not give legal or tax advice, and where a question turns on either we say so and send you to your counsel. We recommend where capital and attention should go, but the decision and its execution stay with your board and your managers. And we work from your businesses as they stand today; we do not audit their accounts, and we take the figures your people give us as the record.

How the Work Proceeds

We work from your own figures rather than from industry rules of thumb, and every number in a deliverable ties back to a workpaper we can produce on request. We keep what we find apart from what we recommend, and label each, because the two do not carry the same weight. And we bring you our thinking as it firms up instead of holding it for the end, so that nothing in the final material reaches you cold. Where a figure is still provisional, we mark it as provisional and say what would settle it.

Who Will Do It

Steven Hunt, Research Associate, leads the market and competitive read on each business, and he is the person to call on anything to do with how a unit is positioned in its industry. Melissa Casey, Research Associate, builds the outside benchmarks and the comparable-company references that measure each business against a standard beyond the group. I set the direction of the work and read everything before it reaches you. On your side, we will treat you, Barbara Ward, as our point of contact for data, access, and the decisions the work calls for, unless you name someone else to stand in that place.

Fee and Start Date

Our fee to Garza, Leblanc and Porter is \$39,000, fixed for the scope set out above. We expect to begin on March 22, 2019 and to reach a portfolio recommendation about nine months from that date. If you ask us to widen the scope, we will price the addition in writing and will not begin it until you have agreed that price. We prefer a fixed fee here so that your people can work with us without watching a clock.

Fees and Payment

We invoice the fixed fee in equal monthly installments across the term, each payable within thirty days of the invoice date. Out-of-pocket costs, chiefly travel to your sites and offices, are billed at cost and itemized on the invoice. We do not mark them up.

Term and Termination

The engagement runs from the start date above until we deliver the portfolio recommendation, unless one of us ends it sooner. Either party may terminate on fifteen days' written notice, for any reason or none. On termination you owe the fee earned to the effective date, prorated against the fixed fee, together with expenses already incurred, and we hand over our work in whatever state it has then reached.

Confidentiality

The performance and prospects of your individual businesses are among the most sensitive information the group holds, and we treat them accordingly. We will use what you give us only for this engagement, and disclose it outside our firm only as you direct in writing or as the law requires. We ask the same of you as to our methods, our workpapers, and the fee recorded in this letter.

Limitation of Liability

Our total liability arising out of this engagement, whether framed in contract, in tort, or on any other basis, is limited to the fees actually paid to us under it. Neither party will be liable to the other for indirect or consequential loss, including lost profits, however it arises. This limit does not reach our own fraud or willful misconduct. Our deliverables are prepared for your internal use; if you intend to place one before a lender, a buyer, or another third party who may rely on it, raise it with me first so that we can address the reliance in writing.

Governing Law

This letter is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules. Any dispute we cannot resolve between us will go to mediation before either party turns to the courts.

If these terms are acceptable, please countersign both copies of this letter and return one to me; the other is yours to keep. We are glad to take on this work for Garza, Leblanc and Porter, and Steven Hunt and Melissa Casey will be ready to begin on the date set out above.

Sincerely,

Julie Ramsey

Managing Principal

Date: March 12, 2019

Barbara Ward

Director of Operations, Garza, Leblanc and Porter

Date: March 12, 2019